Commercial Proposal

For

Sales Forecasting POC

Submitted to

Almond House Pvt Ltd

Submitted by

Appify Consulting Pvt Ltd

Version: 1

Contents

1. *Cover Letter* 2
2. *Executive Summary:* 3
3. *Scope of Work* 3
4. *SUCCESS CRITERIA* 4
   - Quantitative 4
   - Qualitative 4
   - Go / No-Go 4
5. *Out Of Scope:* 4
6. *Assumptions:* 5
7. *Pre requisites:* 5
8. *Efforts* 5
9. *Commercials* 6
10. *Terms & Condition* 6

1. Cover Letter

Kind Attn: Mr. Hrushikesh Mohagaonkar Dated: 30th March 2026

Sub: Commercial Proposal Sales Forecasting POC

Dear Mr. Hrushikesh Mohagaonkar

Subsequent to our discussion on the above subject, we are pleased to offer Almon House the proposal for **Sales Forecasting POC**

As agreed, enclosed herewith is the quotation for the consulting services. Our endeavour in this engagement would be to ensure Almon House needs are met based on our discussions.

We take this opportunity to extend our heartfelt thanks for reposing confidence in us and involving us in selling this AI/ML based solution for your valuable users. We look forward to working closely with you going forward and adding value to your business through our solutions on a continuous basis. We consider this as a beginning of a long-term relationship.

With Warm regards,

Appify Consulting Pvt Ltd.
Prithviraj Chavan
Chief Solutions Officer Co-Founder

2. Executive Summary:

Almond House is a distinguished name in India's premium sweets and confectionery retail sector, operating across multiple product lines, store locations, and seasonal demand cycles. As the business scales, accurately forecasting sales across SKUs, channels, and geographies has become critical — yet current manual and gut feel-driven approaches fall short of capturing the complexity driven by festivals, promotions, seasonality, and regional preferences.

With years of rich transactional and operational data now at its disposal, Almond House stands at an inflection point. The opportunity is clear — move from reactive inventory planning to proactive, AI-driven decision-making that reduces stockouts, minimizes overproduction, and elevates customer satisfaction.

Appify Consulting proposes a focused, time-bound Proof of Concept (POC) to validate the viability and business impact of an AI/ML-powered sales forecasting engine — built entirely on Almond House's own historical data. The POC is designed to conclusively demonstrate forecast accuracy, model interpretability, and integration feasibility, providing a confident, evidence-based foundation before committing to a full-scale rollout.

3. Scope of Work

- Conduct data discovery workshops and audit historical sales data across SKUs, stores, and channels
- Integrate with source system ERP via API for data.
- Perform data cleansing, normalization, and feature engineering to prepare a model-ready dataset
- Develop and benchmark multiple AI/ML forecasting models against current manual baseline
- Incorporate external demand drivers such as festivals, promotions, and seasonal indices
- Validate forecast accuracy and explainability with business and planning teams
- Build an interactive forecast dashboard covering SKU, category, store, and time horizon views

4. SUCCESS CRITERIA

Quantitative

- Forecast accuracy (MAPE) ≤ 15% at SKU-store level
- Minimum 20% improvement over current manual forecast baseline
- Coverage of ≥ 80% of top-revenue SKUs
- Accurate forecasts across 7-day, 14-day, and 30-day horizons

Qualitative

- Planning teams can independently interpret and act on forecast outputs
- Key demand drivers are clearly explainable to business stakeholders
- Almond House leadership expresses confidence in POC outputs
- Integration feasibility with existing data infrastructure is confirmed

Go / No-Go

- MAPE ≤ 15% on test dataset
- Positive validation from business and planning leads
- No critical data quality or integration blockers identified
- Projected ROI justifies full-scale investment

5. Out Of Scope:

- Any activity not mentioned in the above is out of scope.
- Real-time POS system integration
- ERP / SAP integration outside POC data requirements.
- Demand planning workflow automation
- Mobile application development
- Full production deployment
- Activities related to Database Management of source systems.
- Installation and Configuration of any 3rd party Application.
- Any infrastructure or network-related issues are out of scope.
- Changes in source data collection or process related to Source systems.

6. Assumptions:

- Almond House will provide clean, structured historical sales data within the first week of the engagement
- A business point of contact and a technical point of contact will be available throughout the POC
- Access to relevant internal systems for data extraction will be facilitated by Almond House IT
- The POC environment will be cloud-based unless Almond House specifies otherwise

7. Pre requisites:

Data requirements from almond house

Data Set	Minimum History Required
SKU-level sales transaction data	24–36 months
Store / channel / geography master	Current
Promotional & discount calendar	24 months
Festival & holiday calendar	3 years
Inventory & stock movement data	12–24 months
Pricing history (if applicable)	24 months

8. Efforts

Task	No Of Weeks
Data Discovery & Preparation	Week 1
Model Development & Training	Week 1
Forecast Validation & Benchmarking	Week 2
Dashboard & Visualization	Week 3

9. Commercials

Particulars	Total Amount
Sales Forecasting POC Development	₹ 3,00,000
Total Amount Payable:	**₹ 3,00,000**

10. Terms & Condition

- All intellectual property, source code, models, and associated assets developed during the POC remain the exclusive property of Appify Consulting at all times, irrespective of POC outcome.
- Any future enhancements, upgrades, or maintenance of the solution shall be exclusively carried out by Appify Consulting under a separate commercial agreement.
- **In the event of a No-Go,** Almond House agrees to permanently delete all data, models, and dashboards deployed on its systems and provide written confirmation to Appify Consulting within 7 business days.
- Almond House agrees to refrain from replicating, adapting, or utilizing any methodology or model architecture demonstrated during the POC.
- Appify Consulting reserves the right to reference this engagement as a case study unless restricted by Almond House in writing.
- **All prices are exclusive of taxes**; applicable government taxes and duties will be charged at the time of billing.
- Prices do not include application licenses or AI services cost required to deliver the project.
- The project will be delivered remotely from Appify Consulting office premises.
- **Payments are due within 7 days of receipt of invoice.**
- Working hours: 8 hours/day, 5 days/week, 22 days/month (Saturday & Sunday off)
- Resource mobilization will commence within 5 days from the date of receiving the Purchase Order.
- **Commercials are valid until 30th April 2026**.